

How One of India's Largest Companies Allegedly Misrepresented ₹15.15 Lakh Crore of Revenue between 2020 and 2025



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4.4 % of India's Annual GDP

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₹5.8 crore every minute (for 5 years)

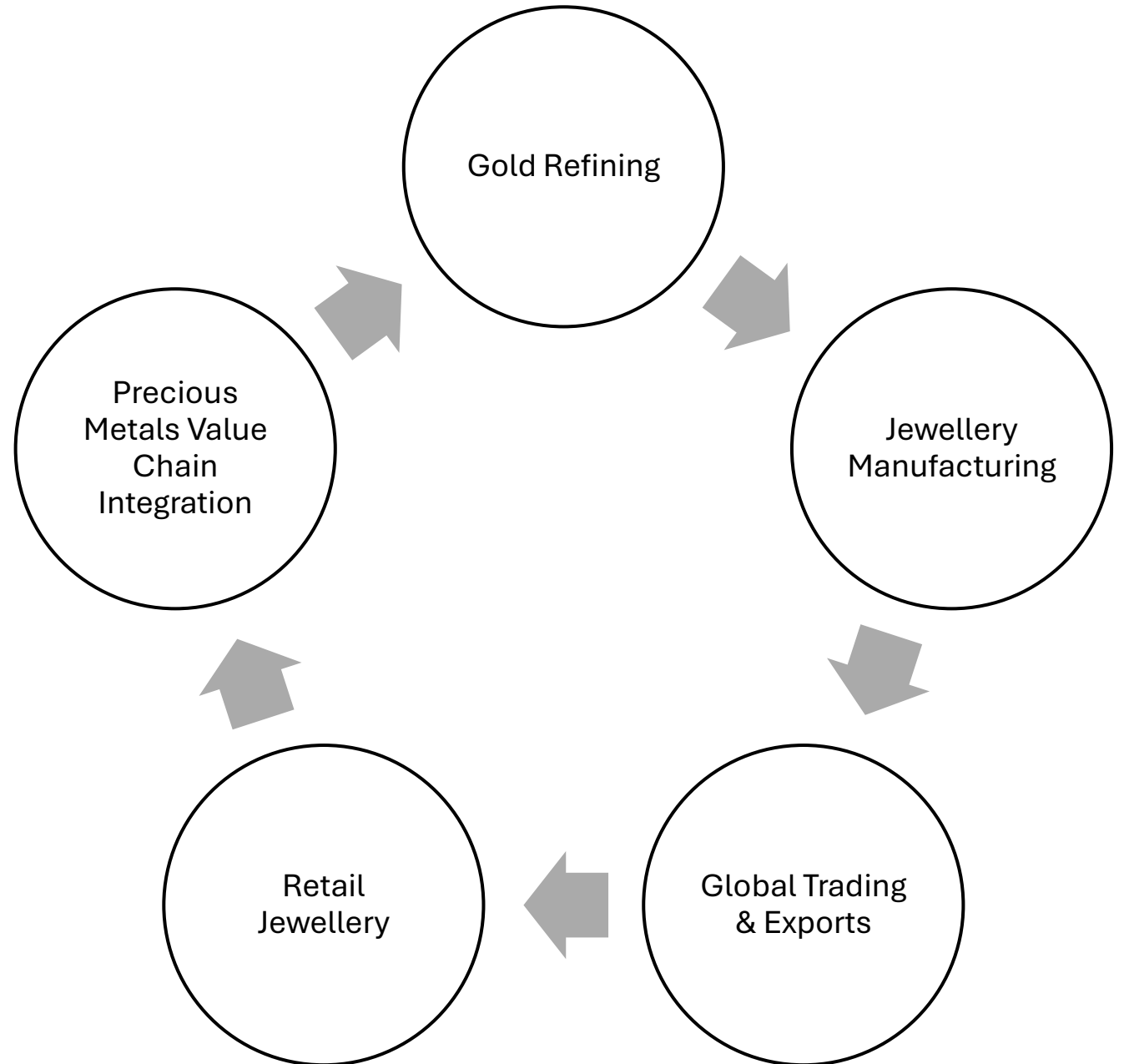
The Company



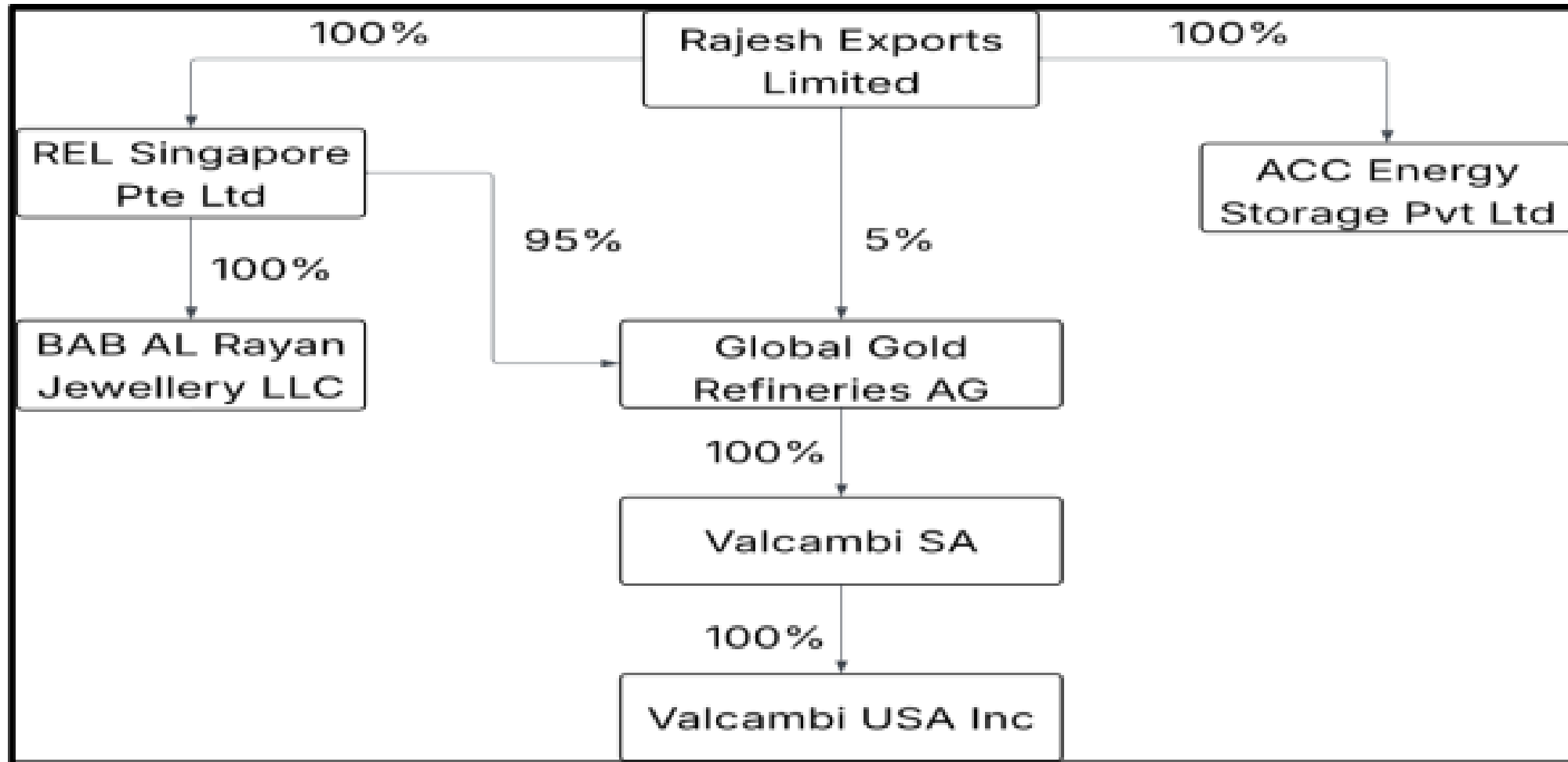
A Brief History of REL

- **1989–1990:** Rajesh (left) and Prashant (right) Mehta established Rajesh Exports, focusing on manufacturing and exporting gold jewelry from Bengaluru.
- **1995:** The company was listed on Indian stock exchanges, using IPO proceeds to expand manufacturing capacity and exports.
- **2002–2015:** Expanded into refining and retail, culminating in the US\$400 million acquisition of Swiss gold refiner Valcambi SA, making Rajesh Exports a vertically integrated global gold company.
- **2016–2024:** Became one of India's highest-revenue listed companies, with operations spanning refining, manufacturing, exports, and retail jewelry.

What does REL do?



Corporate Structure of REL

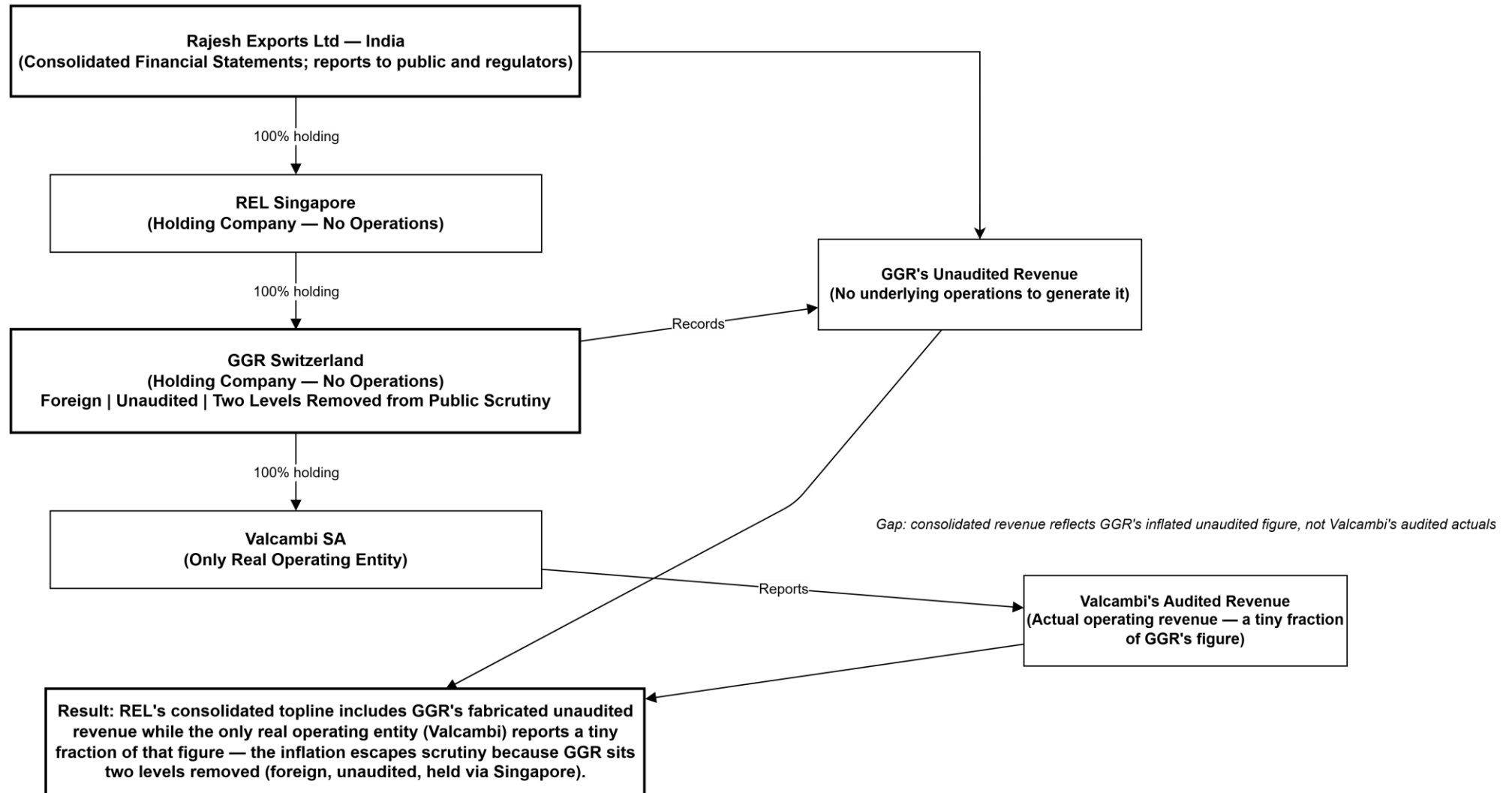


Note: During FY 2024-25 REL's shareholding in ACC Energy Storage Pvt Ltd was reduced from 100% to 51.05%.

The Irregularities

Revenue Misrepresentation through Consolidation

Revenue Inflation via a Layered Offshore Shell Holding Structure (SEBI Order — B.3)



FY-wise impact of misrepresentation

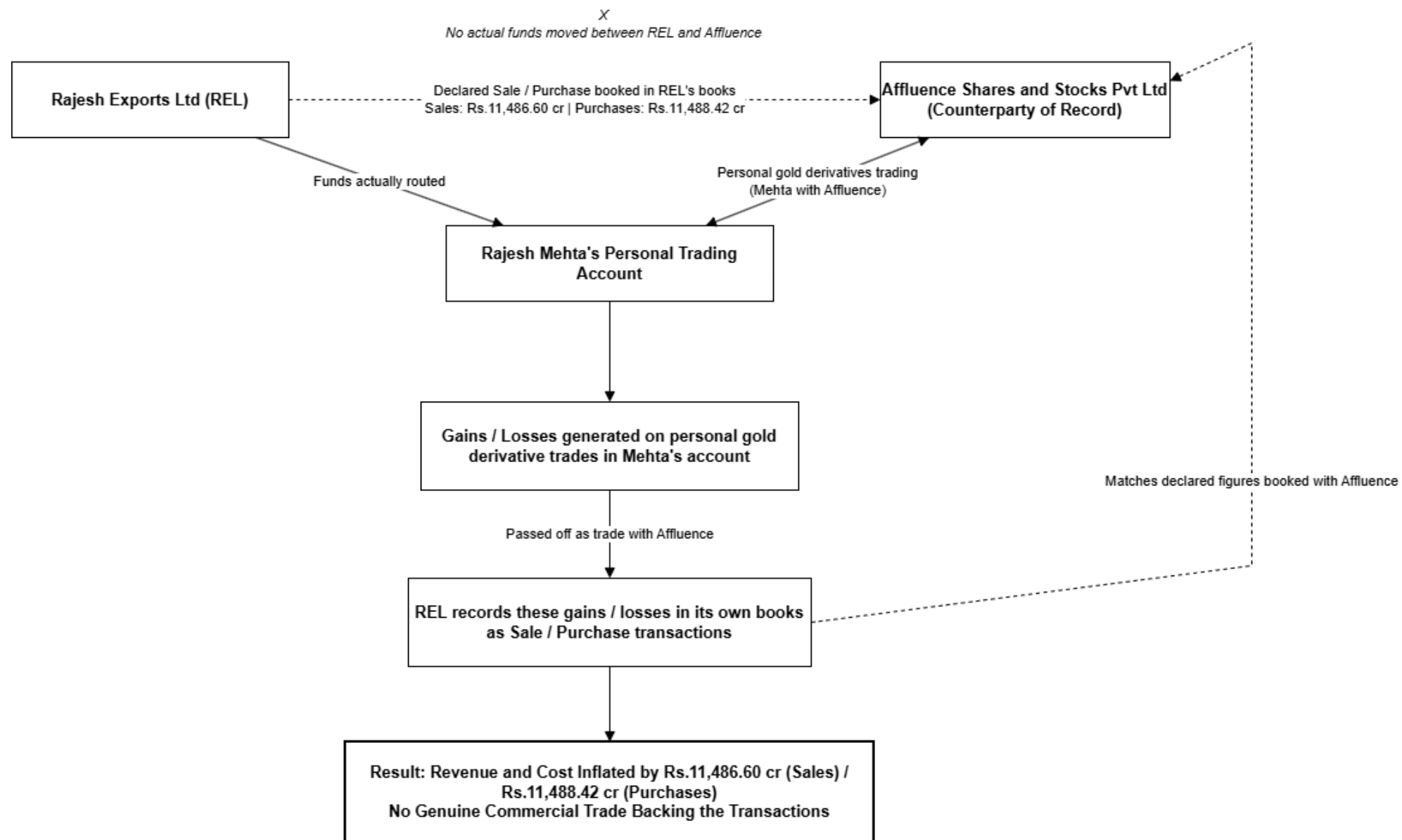
(INR in crore)

Particulars	20-21	21-22	22-23	23-24	24-25	Total
Consolidated Revenue of REL (A)	2,58,306	2,43,128	3,39,690	2,80,676	4,23,099	15,44,899
Standalone Revenue of REL (B)	2,060	6,237	5,762	5,401	7,027	26,486
Revenue of Subsidiaries/ Step-down subsidiaries ¹ (C=A-B)	2,56,245	2,36,891	3,33,928	2,75,276	4,16,072	15,18,413
Particulars	2020	2021	2022	2023	2024	Total
Revenue of Valcambi SA (CHF in million)	74.13	90.10	90.25	59.01	44.87	358.36
Avg. INR/CHF rate (www.exchangerates.org.uk)	79.06	80.89	82.34	91.97	95.08	-
Revenue of Valcambi SA (INR in crore) (D)	586.11	728.82	743.14	542.68	426.63	3,027.38
Misrepresentation (E=C-D)	2,55,659	2,36,163	3,33,185	2,74,733	4,15,646	15,15,385
% of Misrepresentation (E)/(C)*100	99.77	99.69	99.78	99.80	99.90	99.80

Source: SEBI Order: WTM/KV/CFID/CFID-SEC6/32431/2026-27

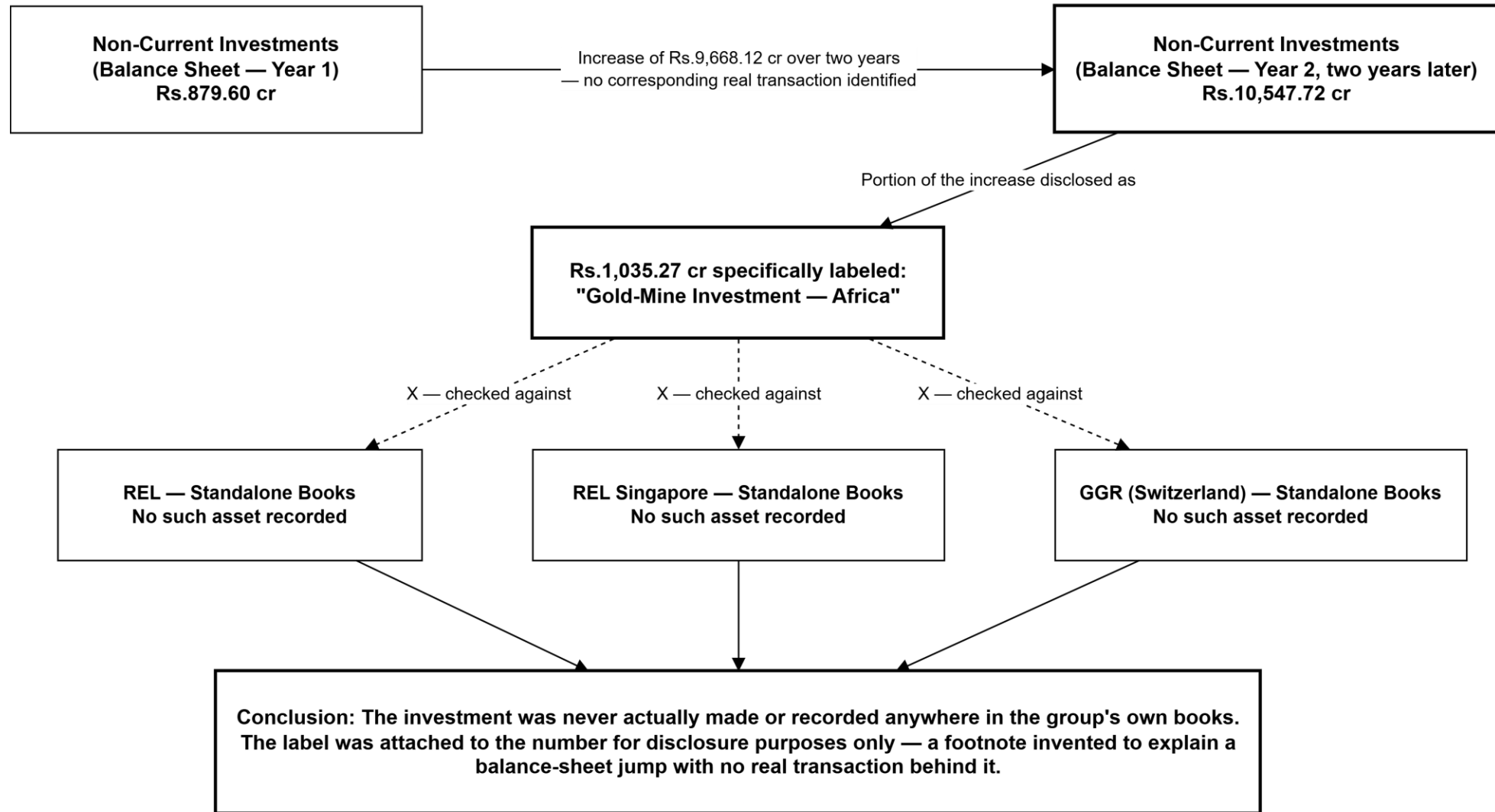
Manufacturing fictitious trade
volume

Manufacturing Fictitious Trade Volume through Affluence Shares and Stocks Pvt Ltd (SEBI Order — B.5)



The "Gold Mines in Africa"
phantom investment

Inflation of Non-Current Investments via a Fabricated Gold-Mine Disclosure Label

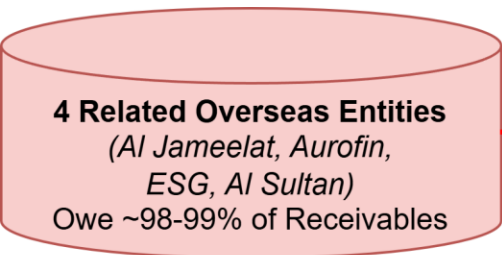


Legend

Solid line = Reported / disclosed figures and balance-sheet movement

Dashed line = Verification finding no corresponding asset in underlying books

Improper netting of receivables



Step 1: The Problem

Aged, highly concentrated receivables sit on books.
(NO REAL CASH PAID)

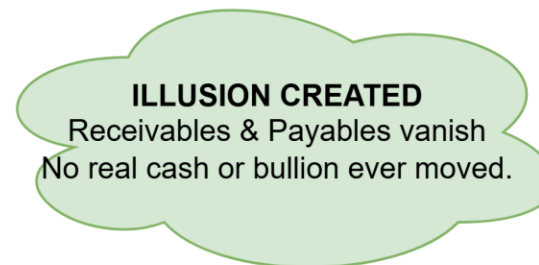
REL (Central Entity)
Sitting on ₹2,914.07 cr
of Stale Receivables

Step 3: The Accounting Fraud

REL illegally nets ₹2,914.07 crore of these
"settled" receivables against payables.

Trade Payables
(Legitimate or recorded liabilities)

Step 4: The Result
Balance sheet shrinks.



Unrelated Counterparties
(Used for fake invoices)

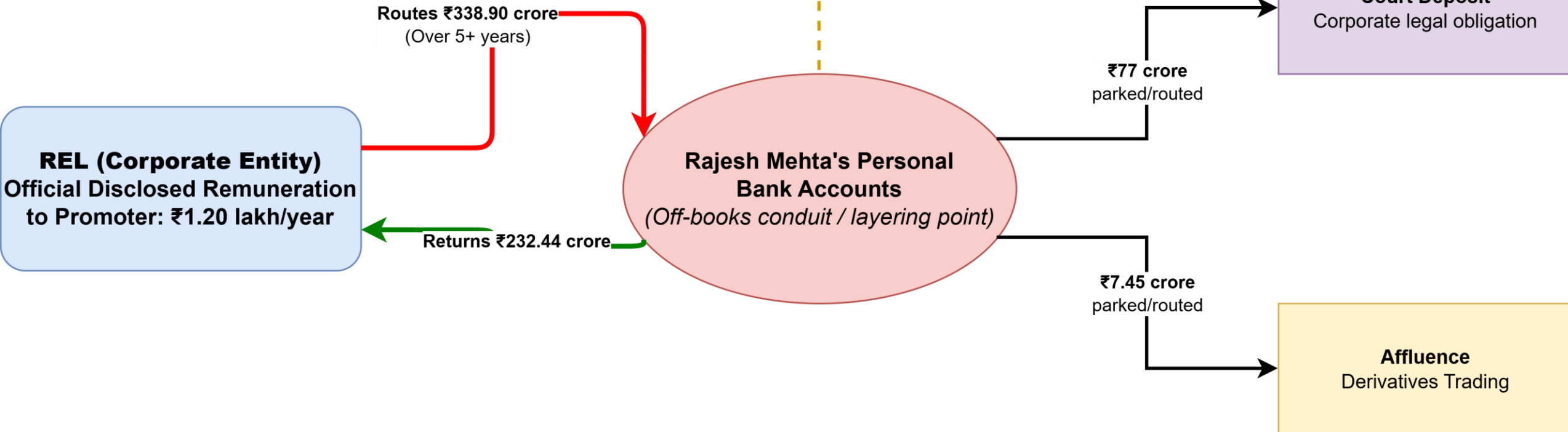
Step 2: The Cover-Up

REL produces backdated (FY12-13) import invoices
from these entities claiming "gold supplies" settled the debt.

Undisclosed fund diversion to the promoter

GOVERNANCE FAILURES & OBFUSCATION

- No Board / Audit Committee approval
- No Related-Party Transaction disclosure
- Admitted purpose: "Confidentiality of bank accounts" and "routing without revealing originating bank"



REL's Response

- Denied all allegations
- Argued that SEBI misunderstood the consolidation methodology used for its overseas subsidiaries
- Stated that it would challenge SEBI's findings through appropriate legal channels
- Asserted that it would fully cooperate with the ongoing regulatory proceedings.

Key Takeaways

- Alleged revenue inflation through consolidation
- Multiple governance concerns identified by SEBI
- Proceedings remain subject to legal challenge

Thank You